

MJU-76 ORDERING PROCEDURES UNDER MULTIPLE AWARD CONTRACT

1) One or more delivery orders (DOs) may be issued during the life of this contract. In accordance with the Federal Acquisition Streamlining Act (FASA), FAR 16.505(b)(2)(i), *Exceptions to the fair opportunity process*, and DFARS 216.505-70(b), the CO will provide all awardees a “fair opportunity” to be considered for each order in excess of \$15,000 unless one of the conditions below applies:

A. The agency need for the supplies or services is so urgent that providing a fair opportunity would result in unacceptable delays.

B. Only one awardee is capable of providing the supplies or services required at the level of quality required because the supplies or services ordered are unique or highly specialized.

C. The order must be issued on a sole-source basis in the interest of economy and efficiency because it is a logical follow-on to an order already issued under the contract, provided that all awardees were given a fair opportunity to be considered for the original order.

D. It is necessary to place an order to satisfy a minimum guarantee.

E. For orders exceeding the simplified acquisition threshold, a statute expressly authorizes or requires that the purchase be made from a specified source.

Any contractor delay in production greater than 45 days may require a new First Article at the contractor’s expense. This will not apply to excusable delays per FAR 52.249-14.

2) The award of future MJU 76 delivery orders for production will follow the ordering procedures listed below:

A) The Government will evaluate price as an evaluation factor. In addition to price, the government may evaluate past performance on prior deliveries as an evaluation factor.

B) Each awardee will be provided a pricing table with a request for order proposal. The pricing table will require each awardee to propose pricing for order items; e.g. unit pricing on given quantity ranges for USG and FMS Production Units (CLINs 0004, 0005, & 0006), lot pricing for First Article/MSE Testing (CLIN 0003), and MSE Administration (CLIN 0002).

C) The basis for the split award amounts is expected to be based on the difference in proposed **Total Evaluated Prices (TEP)** submitted in response to the **Fair Opportunity Proposal Request (FOPR)**. The split percentages identified in **Table 1 will be in effect for Ordering Periods One, Two, and three**. The split percentages identified in **Table 2 will be in effect for Ordering Periods Four, Five, and Option Year**. Award values may not equate to exact split percentages due to rounding and the non-splitting of individual FMS country funds. FMS funds may be awarded to only one offeror due to the non-splitting of FMS country funds. The total dollar amount of future delivery orders will be based on the available budget at the time each delivery order is placed.

D) The total evaluated price will include the proposed unit prices, applicable to individual orders, in the “TEP Worksheet” and the quantity ranges for Production CLINs 0004, 0005, and 0006. For Production CLINs, the Government will utilize pre-determined notional quantities for the listed quantity bands for all ordering periods. Notional quantities are a quantity within the price bands lower and upper quantity range. Notional quantities may or may not be applied to all the quantity

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bands for the TEP calculation. The notional quantities will not be disclosed to the Offerors. The TEP calculation will be computed as follows: 1) the Government will multiply the listed quantity by the proposed unit price from each contractor's proposed prices in selected quantity bands; 2) the Government will then multiply the pre-determined notional quantities by the offeror's proposed quantity band unit price; 3) the Government will then sum the extended prices of each notional quantity with other priced CLINs (0002 & 0003) as applicable to each order, this summation constitutes the TEP.

Example of TEP Calculation:

CLIN	Description	Type	Lower Quantity	Upper Quantity	U/I	Unit Price	Notional Quantity	Extended Price
0001	Post Award Conference	NSP	N/A	1	Lo	NSP		
0002	(MSE) Admin Portion	FFP	N/A	1	Lo	\$10		\$ 10
0003	First Article/ MSE Testing	FFP	N/A	1	Lo	\$20		\$ 20
0004, 0005, 0006	Production Price Band 1	FFP	1	5	EA	\$40		
0004, 0005, 0006	Production Price Band 2	FFP	6	10	EA	\$35		
0004, 0005, 0006	Production Price Band 3	FFP	11	20	EA	\$25	15	\$ 375
0004, 0005, 0006	Production Price Band 4	FFP	21	30	EA	\$20		
0004, 0005, 0006	Production Price Band 5	FFP	31	40	EA	\$15	45	\$ 675
0004, 0005, 0006	Production Price Band 6	FFP	41	50	EA	\$10		
0007	DATA - Exhibit A	NSP	N/A	1	LO	NSP		
							TEP	\$ 1,080

$$\text{TEP} = \$10 + \$20 + (\$25 \times 15) + (\$15 \times 45)$$

$$\text{TEP} = \$10 + \$20 + \$375 + \$675$$

$$\text{TEP} = \$1,080$$

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E) The Government will split award amounts on each delivery order based on the difference between each Offeror's TEP percentage as described in the following (Table 1 used for below example):

1. In the event two offers are submitted in response to a FOPR, the split order award amounts will be based (as close to) on the percent difference in TEP between each contractor.

Table 1 (OP 1, 2 & 3)		
Difference in TEP	Expected Split	
≤5%	50%	50%
≥5% & <10%	55%	45%
≥10% & <25%	60%	40%
≥25% & <45%	65%	35%
≥45% & <70%	70%	30%
≥70%	75%	25%

Two Offer Example:

Offeror #1 TEP: \$1,080 Offeror #2 TEP: \$1,000

The difference in TEP between offeror #1 and offeror #2 is 8% ($(\$1080 - \$1000) / (\$1000) * 100\%$) which would result in a 55/45 (see Table 1) split with offeror #2 receiving 55% of the total amount in budget dollars and offeror #1 receiving 45% of the total amount in dollars. In this example, if the total amount of budget dollars equals \$1,000,000, the order amounts would be as follows:

Offeror #1: \$450,000

Offeror #2: \$550,000

The percentage difference in calculated TEP is determined as follows: **(highest-price minus, lowest price, divided by the lowest price multiplied by 100)**. The percentage difference in the calculated TEP will be rounded to the nearest whole number. When calculating the total quantity of flares based off the order amount, the government will round to the nearest whole flare.

Table 2 (OP 4, 5, & Option Year)		
Difference in TEP	Expected Split	
≤5%	55%	45%
≥5% & <15%	60%	40%
≥15% & <25%	65%	35%
≥25% & <35%	70%	30%
≥35% & <45%	75%	25%
≥45% & <55%	80%	20%
>55%	100%	0%

Note: Option year CLINs are not restated in these ordering procedure. They may be interpreted to represent the same CLINs referenced above, except for the first digit replaced with "1" in CLIN numbering.

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F) The government reserves the right to evaluate flare deliveries under previously issued MJU-76/B delivery orders. The government may limit the quantity of flares, percent split/award, for any offeror that has less than satisfactory past performance particularly in regards to prior MJU-76 Delivery Orders. This limitation is at the sole discretion of the Government and may result in a reduction of awarded flares, up to and including no award at all.

3) The award of future MJU- 76 source directed delivery orders will follow the ordering procedures listed below:

A) The procuring contracting officer (PCO) will issue an RFP to the designated source per the countries Letter of Offer and Agreement (LOA)/ International Agreement of Competitive Restrictions (IACR). The PCO may request pricing and conduct negotiations in accordance with applicable regulations. The sole offeror will be required to provide certified cost or pricing data on any proposal exceeding the threshold stated in FAR 15.403-4(a)(1), or other than certified cost or pricing data if the proposal does not meet the threshold for certified cost or pricing data and price analysis alone is insufficient to determine a Fair and Reasonable price.

B) These same procedures will be followed in the event only one awardable offer is submitted in response to a competed delivery order IAW DFARS 216.505-70.

4) Performance can be authorized under this contract only by issuing individual orders signed by the PCO. Orders shall be issued by the PCO in writing and shall be dated and numbered. Orders will set forth as applicable (1) the supplies, data, or other items being ordered and include attachments, (2) the quantities to be furnished, (3) delivery dates, (4) packing and shipping instructions, and (5) funds obligated. An order is considered “issued” when the government electronically signs and distributes the order into the Electronic Document Access (EDA) System. The issued order will then be electronically delivered to the contractor’s representative via email. Order modifications thereto may be issued only by the PCO or by the administrative contracting officer (ACO).

5) These ordering procedures do not guarantee the contractor issuance of any delivery order above the minimum award amount guarantee for this contract.